

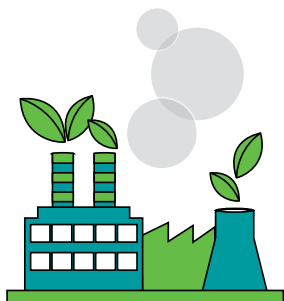
IN NUMBERS

○
Achieving net-zero will require a cumulative investment of \$10-\$22.7 trillion by 2070, according to CAREEdge ESG

○
NITI Aayog estimates India can mobilise approximately \$16.2 trillion for its net zero transition by 2070

○
As per Climate Bonds, in 2025, green, social, sustainability, and sustainability-linked (GSS+) global debt reached \$1 trillion

○
India's cumulative aligned GSS+ debt issuances reached \$55.9 billion by December 2024, a 186% increase since 2021



SUSTAINABILITY • FINANCE

GAP IN GREEN FINANCING

INDIA REQUIRES ABOUT \$170 BILLION ANNUALLY IN CLIMATE INVESTMENTS, BUT AVERAGE CLIMATE FINANCE FLOWS HAVE ONLY BEEN AROUND \$44 BILLION PER YEAR

BY NACHIKET KELKAR

INDIA IS RAPIDLY changing. Look around there is construction everywhere. New metro and railway lines are being built, swanky new airports are rising, mega highways are expanding and new factories are being built. The central government has set a vision to become a developed nation by 2047.

As more people migrate from rural to urban areas, cities are growing, many bursting to their seams. At the same time new micro markets are emerging. All this will need a massive infrastructure investment.

According to Brickwork Ratings, the country will require nearly ₹80 lakh crore in urban infrastructure investments by 2037 to support rapid urbanisation and economic growth.

It estimates urban areas are expected to contribute nearly 70% of India's GDP by 2036 and that makes sustainable urban financing a "national priority."

The central government earlier this year launched the Urban Challenge Fund (UCF), with ₹1 lakh crore total central assistance. The scheme envisages that at least 50% of the funding for the project would have to be raised via market-based instruments such as municipal bonds, public-private partnerships, loans, etc.

Manu Sehgal, CEO, Brickwork Ratings, agrees that UCF could significantly deepen India's municipal funding ecosystem by expanding participation. However, he pointed that since FY2018, only 17 cities have issued municipal bonds amounting to ₹4,540 crore, which highlighted the large untapped financing opportunity in the sector.

The Economic Survey this year pointed that despite sustained global efforts, the gap between sustainable development ambitions and available financing has continued to widen, particularly for developing countries, reaching an estimated \$4 trillion. India requires about \$170 billion per year